

FACULTATIVE REINSURANCE OFFER - PROPERTY (FLOOD)

Offer

Reference: RF-SAMPLE-B-2027

Cedant: Lakeside General Insurance Ltd (fictional)

Broker: Nzoia Risk Brokers Ltd (fictional)

Reinsurer approached: Kenya Re

Period: 1 January 2027 to 31 December 2027

The insured

Insured: Bunyala Riverside Rice Millers Ltd (fictional)

Occupancy: paddy storage and rice milling

Location: Rugunga village, Bunyala, Busia County

GPS: 0.0786 N, 34.0010 E

The mill sits on low ground in the Nzoia flood plain, about 600 m from the river bank, below the dyke line.

Buildings

Building 1 - Rice mill shed. Construction: steel frame with corrugated iron sheet walls and roof. Floor area: 900 m². Floor level: at ground level. Sum insured: KES 18,000,000. Condition: fair.

Building 2 - Paddy store. Construction: mixed iron sheet and concrete block walls. Floor area: 1,400 m². Floor level: at ground level. Sum insured: KES 21,000,000. Condition: fair.

Building 3 - Office. Construction: timber frame with mud block walls. Floor area: 120 m². Floor level: at ground level. Sum insured: KES 2,400,000. Condition: poor (cracked walls after the 2024 flood, not yet repaired).

Building 4 - Drying yard shed. Construction: open corrugated iron sheet shed on steel posts. Floor area: 600 m². Floor level: at ground level. Sum insured: KES 3,600,000. Condition: fair.

Contents

Stock - paddy and milled rice, in the paddy store: KES 45,000,000

Machinery - hulling and polishing line, in the rice mill shed: KES 28,000,000

Total sum insured (buildings and contents): KES 118,000,000

Flood history (8 years of records, 2017 to 2024)

2018: water 1.4 m deep inside the paddy store; settled loss KES 19,400,000.

2020: water 2.1 m deep at the mill after the dyke breach; settled loss KES 27,900,000.

2024: water 1.8 m deep at the mill; settled loss KES 23,600,000.

Risk management

Sandbags kept on site; no raised storage; no flood warning plan in place.

Terms offered

Flood deductible: KES 250,000 each and every flood event

Flood limit: KES 80,000,000 any one event

Share offered to Kenya Re: 60%

Flood premium (100%): KES 1,900,000

Broker's recommendation

The client is a long-standing account and asks for renewal on the expiring terms.

Contacts

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